

Lesson 2.14: The Gilded Age Market Opens: Risk and Reward

Unit: Unit 2, Me, My Goals, My Money (Individual Growth and Life Readiness) **Topic:** 2.4 The Gilded Age Market **Grade:** 6 to 8 (written at grade 7; see Differentiation for the grade 6 support and grade 8 stretch) **Days:** 2 class periods of 40 minutes **Room:** classroom

Standards

- NYS module line: NYS IGLR 4. Financial Readiness e) Determine ways for saving money
- NYS module line: NYS IGLR 4. Financial Readiness b) Create and follow a budget
- CTE theme line: CTE FCL 2. Saving, Investing, and Sharing b) Define “investing” and explain how saving and investing are related
- CTE theme line: CTE FCL 3. Protecting and Insuring a) Identify various types of financial risk
- NYS FACS Learning Standard 3 (Intermediate), Key Idea: Students will understand and be able to manage personal resources of talent, time, energy, and money and make effective decisions in order to balance their obligations to work, family, and self.; Performance Indicator: Students understand the resources available to them, make informed decisions about the use of those resources, and know some ways to expand resources.
- CDOS Standard 3a Universal Foundation Skills: Managing Information
- National FCS 3.0: 3.3.4 Compare different ways to save and invest.

Note on the theme lines: the Saving, Investing, and Sharing topic has no line that says “risk.” The closest verbatim line on risk is FCL 3. a) above, so it is cited here instead. FCL 2. c) Explore different savings and investment tools and methods is taught here too and is the primary theme line for Lessons 2.15 through 2.18.

Enduring understanding and essential question

Big idea: Saving keeps your money safe. Investing puts it to work, and work can go wrong. The more a company can grow, the more it can fall. You do not get one without the other.

Essential question: How much risk is worth taking with money you cannot afford to lose?

Objectives

By the end of this lesson, students will be able to:

1. (Low) Given the eight company cards of the Gilded Age Market, describe the difference between saving and investing and sort the companies from safest to riskiest.
2. (Mid) Given their paper ledger after Round 1, explain what each number means (cash, bank, shares, price, value, total, gain or loss) and use the trade log to check one trade.

3. (High) Given \$1,000 in 1870, decide how to split it between the bank and at least two companies and justify the split in an Investor Journal entry that names the risk level of each choice.

Vocabulary

Tier 2 (general academic): risk, reward, justify, record Tier 3 (FACS): saving, investing, share, portfolio, ledger, total, panic. See the unit vocabulary list for the Spanish column.

Materials and setup

- Handout 02.14 - The Gilded Age Market Kit.md (teacher copy): pages 1, 2, 3 and 5 stay with you. Page 1 is the rules, page 2 the price table, page 3 the dispatches you read aloud, page 5 the answer key for the Day 9 reveal.
- Handout 02.14 - Company Cards.md, one set of eight cards per pair, cut apart. The kit's risk line for each card is in the teacher key at the bottom of the handout; do not hand out the key.
- Handout 02.14 - Investor Journal.md, one per student, kept in the FACS folder for the whole topic
- Handout 02.19 - Paper Ledger.md (student), one per student, kept in the FACS folder for the whole topic: the price table with a column per round, the holdings table, and the trade log
- Slides: Slides 02.14 - The Gilded Age Market Opens Risk and Reward
- Board space for the price table: one column per round, Round 0 to Round 8 and the close
- Exit cards, one per student per day
- Setup notes: before class, draw the price table frame on the board with only the Round 0 column filled in (1870: RAIL 50, OIL 10, GAS 20; BANK pays 3 percent). Write an investor number on every ledger and journal before you hand them out; the number is what goes on the leaderboard, never a name. Keep your own list of who has which number in your desk. Cut the company cards for each pair. Read the Round 0 and Round 1 dispatches once out loud to yourself so you know the timing.

Pre-assessment

The Money Basics Quiz at the end of Topic 2.3 and the Lesson 2.12 exit cards (compound growth) tell you who already knows what a savings account pays and who thinks "investing" means getting rich fast. The Day 1 do now is the second read: count how many students put the \$100 in the friend's business without asking a question about the business.

Do now and hook (Time: 3 min, Day 1)

On the board: "You have \$100 you will not need for a whole year. Where do you put it: a jar at home, a savings account at a bank, or your cousin's new sneaker business? One sentence: why."

Debrief: hands for jar, hands for bank, hands for the business. Then the hook: “Every one of those is a real choice adults make every month. The jar is the safest and pays nothing. The bank is almost as safe and pays a little. The business could double your money or lose all of it. For the next ten days it is 1870, you have \$1,000 of paper money, and you make that choice eight times over, once for every round, from 1870 to 1932. Nobody gets hurt, and the leaderboard is real.”

Procedure

Step	Teacher will	Students will	Time
Day 1, 1. Direct instruction: saving vs investing, risk and reward	Slides 2 to 6. Define saving (money set aside where it is safe and you can get it back) and investing (buying something you expect to be worth more later, with no promise). Draw the risk ladder on the board: jar, savings account, government bond, company bond, real estate, big company stock, new company stock. Say the rule: “Higher up the ladder, more it can grow, more it can fall.” Give one example of each end from the game: the bank pays 3 percent a round and never falls; a brand new company’s stock can double in a round or lose half its value in one.	Copy the risk ladder into the notes box on the Investor Journal cover. Answer the two check questions on slide 6.	7 min
Day 1, 2. Learning activity: Company Cards	Hand each pair the eight company cards. Task: read each card, sort them on the desk from	Sort the cards. Write the risk level for each ticker. One pair reads its order aloud; others agree	7 min

	safest to riskiest, and write the risk word (none, low, medium, high, very high) on the journal cover next to each ticker. Say clearly: some of these companies do not exist yet in 1870; they join the board in the round when they were founded, and nobody learns what happened to any of them until Day 9. Circulate with the clipboard check. Debrief in two minutes: put the class sort on the board. Most pairs get BANK and GAS at the bottom and RADIO and AUTO at the top; argue about RAIL, OIL, ELEC and STEEL, which is the point.	or challenge with a line from a card.	
Day 1, 3. Round 0, 1870: the market opens, first buys	Hand out the ledgers. Point to the Round 0 column on the board: RAIL 50, OIL 10, GAS 20, and BANK pays 3 percent of the balance at the start of every round. Read the Round 0 dispatch from the kit and ask its question (which of the three is safest, and how do you know). Walk	Copy the Round 0 prices onto the ledger. Make first buys: at least two companies, at least \$100 in the bank or cash. Write every buy in the trade log. Write the tickers and shares on the journal cover.	9 min

	through slide 8: how a buy goes in the trade log (round, company, buy, shares, price, cash that moved) and how the holdings table works (shares times price equals value). Model one buy on the board: 10 shares of RAIL at \$50 is \$500 out, cash goes from \$1,000 to \$500. Set the two rules for today: buy at least two different companies, and keep at least \$100 out of stock, in the bank or in cash. Say why the bank beats the jar: cash on your ledger is the jar, it pays nothing; the BANK line pays 3 percent. Four minutes of trading. Circulate; check the log; do not tell anyone what to buy.		
Day 1, 4. Round 1, 1873: the Panic of 1873	Write the Round 1 column on the board: RAIL 30, OIL 12, GAS 21. Say nothing else yet. Tell students to pay the bank interest first (3 percent of the bank balance, rounded to the nearest dollar), then work out what they hold now: shares times the	Pay the bank interest. Fill the Round 1 column on the ledger. Work out the new total. Listen to the dispatch. Trade or hold; log every trade.	10 min

	new price for each company, plus cash, plus bank, equals total. Then read the Round 1 dispatch from the kit aloud, once fast and once slow, and put its question to the room: the railroads were the future; how did the future lose half its value? Four minutes of trading. Circulate. Say the line you will say again in October 1929: “You have not lost anything until you sell.”		
Day 1, closure	See Closure.		4 min
Day 2, do now	On the board: “Open your ledger. Write your total after Round 1 at the top of Entry 2. Is it above or below \$1,000? By how much?”	Find the number, write it, subtract.	3 min
Day 2, 5. Direct instruction: reading the ledger	Project a blank ledger and fill in the model portfolio from slide 12 (10 RAIL, 20 OIL, \$300 in the bank in 1870). Name every number: the price table (one column per round), the holdings table (shares held, the price this round, value equals shares times price), cash,	Follow on their own ledgers. Find one trade in the log and check it: shares times price equals cash moved. Write the check on Entry 2.	8 min

	bank, the margin loan line (empty; “we will need that line in 1928”), total (cash plus bank plus every value), and gain or loss (total minus 1,000). Then the trade log (slide 13): every buy and sell with the round, the company, the shares, the price and the cash that moved. Say why it matters: the ledger is proof. If two students disagree about a trade, the log settles it. Show how to check one trade: shares times price should equal the cash that moved.		
Day 2, 6. Diversification preview	Ask for hands: “More than half your money in one company?” Count. “Something in every line on the board?” Count. Draw two pies on the board: one with a huge slice, one cut evenly. Say only this: “On Day 5 we find out which pie survives a panic. Today, look at your own pie.” No lecture yet; Lesson 2.16 does it.	Sketch their own pie on Entry 2 (rough slices, labeled with tickers).	5 min
Day 2, 7. Round 2, 1882: oil, and the trust	Write the Round 2 column on the board: RAIL 45, OIL 30, GAS 26, and a	Pay the interest. Fill the Round 2 column. Listen to the dispatch. Trade or	10 min

	new line, ELEC 25. Students pay the bank interest, fill the column and work out the total. Read the Round 2 dispatch aloud and ask its question: if one company controls almost all of something you need, what happens to the price you pay? Say that ELEC is on the board from today. Four minutes of trading. Circulate with the clipboard check. Remind them: nobody has to trade; holding is a decision too.	hold. Log every trade, and note it on Entry 2 as it happens (ticker, buy or sell, shares).	
Day 2, 8. Investor Journal, Entry 2	Teach the three prompts that every entry uses from today on: what I did, why I did it, what happened. Model one entry on the projector in three sentences (slide 18). Set the rule: one entry per class day, three sentences minimum, the total in dollars every time.	Write Entry 2 in full. Fill in anything missing on Entry 1 from Day 1.	10 min
Day 2, closure	See Closure.		4 min

Day 1 totals 40 minutes: 3 + 7 + 7 + 9 + 10 + 4. Day 2 totals 40 minutes: 3 + 8 + 5 + 10 + 10 + 4.

Questions to ask

Monitor understanding:

- What is the difference between putting \$100 in the bank line and buying two shares of RAIL with it?
- Your total says \$800. You started with \$1,000. Did you lose money, or did the price of something you hold drop? Is that the same thing?
- Find the last trade in your log. Shares times price: does it match the cash that moved?

Deepen learning:

- Why would anyone choose the bank if it can never grow fast?
- If a company's stock can double in a round, what else must be true about it?
- Who in your life saves? Who invests? Do they talk about it the same way?

Check for understanding

Day 1, Step 2: clipboard yes or no per pair on "BANK sorted safest," "RADIO or AUTO sorted riskiest," and "gives a reason from the card text." Day 1, Step 3: yes or no on "two companies," "at least \$100 in the bank or cash," "every buy is in the log." Day 2, Step 7: yes or no on "can name the price and value of one holding" when asked at the desk. A "got it" answer on Day 2 sounds like: "I have 8 shares of RAIL at \$45, so that is \$360 in value."

Closure (Time: 4 min Day 1, 4 min Day 2)

Day 1: Investor Journal Entry 1 (the short version: what I bought, why, and my total at the bell), then a 3-2-1 exit card: 3 things you hold (companies or the bank), 2 words that describe the risk of each, 1 thing you want to know about the next round. Two students read a "1" aloud. Sort the cards; anyone who could not name a risk level gets the risk ladder slide printed in the folder for Day 2. Day 2: two students read their Entry 2 aloud. Exit card: "Cash, bank, shares, price, value, total: put them in a sentence about your own ledger." Sort into "got it" (all six words used correctly) and "needs more" (a second walk through the ledger at the start of Lesson 2.15).

Differentiation and supports

- ELL: the Company Cards have a one-line description each and a ticker in capital letters; the risk ladder slide uses icons (a jar, a bank, a factory, a rocket); the journal template has sentence starters in Spanish ("Today I bought ___ because , " ***My total is \$***"); pair each ELL student with a partner who can point to the line on the ledger; the words buy and sell are the only two words a trade log line needs, and slide 19 shows them in Spanish too.
- IEP and 504 (general): the ledger has boxes, not lines; a student who cannot write three sentences can dictate to a partner; extended time by finishing Entry 2 at the start of Lesson 2.15; seat any student who gets anxious about the leaderboard where the board is not in direct view; a calculator is allowed for every total.
- Grade 6 support: the sort uses five cards (BANK, GAS, RAIL, AUTO, RADIO), and the first buy rule is one company plus the bank, not two companies; the journal entry can be two sentences with the number.

- Grade 8 stretch: the pair also writes one sentence predicting which company will move most by Day 5 and why, and on Day 2 computes gain or loss as a percent of 1,000 (a preview of Lesson 2.18).
- UDL checkpoint used: multiple means of representation (the risk ladder as a drawing, the cards as text, the price table as numbers on the board) and multiple means of engagement (a real choice with a leaderboard, no right answer on Day 1).
- No-kitchen or no-machine alternative: not needed; the whole market runs on paper and a board. If the board is in use, post the price table on chart paper and keep it up all ten days.

Assessment

Objective	Standards met	Learning task	Assessment (formative or summative; tool)
1. Describe saving vs investing and sort the companies by risk	FCL 2. b); FCL 3. a); National FCS 3.3.4	Company Cards sort, Day 1 Step 2; exit card	Formative; clipboard checklist, Day 1 exit card sorted got it or needs more
2. Explain the ledger numbers and check a trade in the log	IGLR 4. b); Std 3 PI B; CDOS 3a Managing Information	Day 2 Step 5 ledger check; Day 2 exit card sentence	Formative; exit card scored for all six words used correctly
3. Decide a split and justify it in the journal	IGLR 4. e); FCL 2. b); Std 3 PI B	First buys, Day 1 Step 3; Entries 1 and 2	Formative now; summative later on Rubric 02 criterion 1 (trading participation and journal) and criterion 2 (analysis and decision making)

The whole topic is assessed summatively by the Investor Report and Rubric 02 in Lesson 2.19; there is no separate quiz for Topic 2.4.

Homework

None. Optional: ask an adult at home one question: “Do you save, invest, or both?” Be ready to say what they said, no dollar amounts.

Connections

Math: the class math teacher can use the Day 2 gain or loss numbers as integer practice (positive and negative change) the same week; FACS gives math a real data set, math gives

FACS students who can subtract from 1,000 without a calculator. Social studies: if the social studies teacher covers the Gilded Age this year, line up the weeks; FACS gives social studies students who have held a railroad share through the Panic of 1873. Community: a local bank or credit union's education officer can visit during Lesson 2.19 for the reveal.

Sources

- NYS Middle Level CTE FACS Content Module 01, Individual Growth and Life Readiness (nyctecenter.org, June 2018), lines 4. b) and 4. e). Copy in 02 Standards/NYS Module PDFs/.
- NYS Middle Level CTE Theme Module 03, Financial and Consumer Literacy, lines 2. b) and 3. a). Same folder.
- NYS Learning Standards for Health, Physical Education, and Family and Consumer Sciences (1996), Standard 3, Intermediate. Wording per 02 Standards/STANDARDS SOURCES - web research.md.
- CDOS Intermediate Standard 3a, Managing Information. Same file.
- National Standards for Family and Consumer Sciences Education 3.0 (LEAD FCS Education, 2018), competency 3.3.4.
- My own materials: Handout 02.14 - The Gilded Age Market Kit.md (the rules, the price table, the dispatches, the company cards and the answer key; its sources for every date and figure are listed on page 5) and Handout 02.19 - Paper Ledger.md.

Teacher notes

- If Day 1 runs short, cut the debrief of the card sort to one pair and take the rest of the sort into the Day 2 do now. Never cut Round 1; a student who leaves Day 1 without living through the Panic of 1873 has nothing to journal about.
- The order of a round never changes: prices on the board, students work out their totals, then the dispatch, then four minutes of trading. Prices before the story. If you read the story first, students trade on the story instead of learning to read the numbers.
- The bank interest is the step students forget. Say “pay the bank first” at the start of every round from Round 1 on, and check one bank line on your walk.
- Common mistake: students spend all \$1,000 in the first two minutes on one company because it “sounds like the future.” The two rules (two companies, \$100 out of stock) stop the worst of it without taking the choice away. Do not fix the rest; that portfolio is a lesson on Day 5.
- Common mistake: students read a price drop as “I lost money.” Say it on Day 1 and again in October 1929: you have not lost anything until you sell. The ledger is where that becomes visible.
- Every student starts with \$1,000. Every price and date comes from the kit; do not improvise a number.